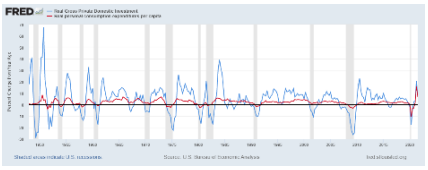
SYLLABUS - LOGISTICS

Economics 20200

The Elements of Economic Analysis III

Spring Quarter 2024



%-change in Real Investment and Real Consumption per Capita, 1950-2022. Source: FRED series GPDIC1 and A794RX0Q048SBEA

Prerequisites

This class assumes you are comfortable with the contents and pre-requisites of ECON 201x0. Econ 19900 or Econ 10200 are recommended but not required for students without a prior macroeconomics course.

Measured Learning Objectives

- *Construct* and solve general equilibrium models of the macroeconomy
- *Evaluate* theoretical predictions using economic data
- *Modify* a theory to evaluate statements or scenarios

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Description

Department Website: As an introduction to macroeconomic theory and policy, this course covers the determination of aggregate demand (i.e. consumption, investment, the demand for money), aggregate supply, and the interaction between aggregate demand and supply. We also discuss economic growth, business cycles, inflation, and money.

Explained: This course extends the theoretical methods from Econ 20100 into dynamic general equilibrium models, allowing you to analyze a "full" economy with firms, consumers, and governments interacting through goods and financial markets. We also discuss the difference between a recession and expansion, and long run economic growth.

Textbooks

I write the topic summaries and practice problems for each class meeting: those are posted to Canvas, along with the class slides. The topic summaries list the relevant chapters to augment or provide details for topics from class using the abbreviations below for each textbook. I do not assign mandatory homework or readings from any textbook. However, there may be mandatory topical readings assigned for homework which will be posted on Canvas and do not need to be purchased.

	(DLS) Matthias Doepke, Andreas Lehnert, & Andrew W. Sellgren, *Macroeconomics*. Free online from authors. https://faculty.wcas.northwestern.edu/~mdo738/book.htm Companion to Barro, Macroeconomics 5th Edition (1997)
	(GLS) Julio Garín, Robert Lester, & Eric Sims, *Intermediate Macroeconomics*. Available for free download. https://www3.nd.edu/~esims1/gls_textbook.html
	(PK) Pablo Kurlat, *A Course in Modern Macroeconomics.* Purchase digital copy here from the author, or the paperback on Amazon. https://sites.google.com/view/pkurlat/a-course-in-modern-macroeconomics?pli=1
	(TR) Topical Readings. Articles or news stories that integrate the course content with current events or context. These will be distributed on Canvas or referenced in homework if they are required reading.

Econ 20200 SCHEDULE

	CLASS / *Discussion*	Office Hours
MO	3:00-4:20pm (SHFE 021)	12:00pm-2:00pm SHFE 428
WE	3:00-4:20pm (SHFE 021)	Advising Only: 10-Noon SHFE 428
TH	-	4:00pm-6:00pm SHFE 428
FR	*3:00-3:50pm (SHFE 021)*	-
		Dr. G.C. Pieters
	preferred salutation	Dr./Prof. Pieters she/her

STRUCTURE

In most classes, I will show relevant theory with an application to a real-world situation. Every second class meeting introduces a "Quick Response Exercise" (QRE): an economic question to be discussed in groups with analysis ultimately shared with the entire class. Discussion sections revisit mathematical techniques and problems from class and introduce or revisit sample problems closely related to the homework. Discussion section material is selected and designed by the TA.

Homework questions are not a regurgitation of in-class examples. I design the homework assignment to evaluate whether you comprehend the material sufficiently to: (1) understand the question, and (2) complete the economic analysis of that question. The expectation is the same for quiz questions as you must understand the material, not simply memorize definitions or techniques. In addition to class attendance, I assume you will work on the provided practice problems, attend the discussion sections, and visit class hours or post on the Discussion board as needed. In contrast to the class-discussion based QRE and group-based homework, the biweekly quizzes are an individual-level assessment of your knowledge and understanding of the course material.

GRADES CALCULATION

Aggregate Individual Score, $\boldsymbol{AIS_i}$

Your *aggregated individual score* (AIS_i) will not be rounded and is calculated from the combination of the three graded components of this class: Homework, Quick Response Exercises (QRE), and Quizzes.

- Formative Assessment Component (30 points) = Homework Points + QRE Points + Bug Bounty Points
  - The formative assessment component of your grade cannot exceed 30 points. It is the sum of all your homework, QRE, and bug bounty points.
- Test Component (120 points): The sum of your 4 highest Quiz scores.
  - Each quiz is worth 30 points.

$$AIS_i\ (150) = Formative\ Component\ (30) + Quiz\ Component(120)$$

	D	D+	C-	C	C+	B-	B	B+	A-	A
Default										
Fixed (% out of 150)	90 60%	99 66%	102 68%	105 70%	114 76%	117 78%	120 80%	129 86%	132 88%	135 90%
Course Curves (cutoff used if lower than "Default")										
Curve 1: Distribution $\mu = Average\ AIS_i$ $\sigma = Std.\ Dev.$	$\mu - \frac{3}{2}\sigma$	$\mu - \frac{5}{4}\sigma$	$\mu - \sigma$	$\mu - \frac{3}{4}\sigma$	$\mu - \frac{1}{4}\sigma$	μ	$\mu + \frac{1}{4}\sigma$	$\mu + \frac{3}{4}\sigma$	$\mu + \sigma$	$\mu + \frac{5}{4}\sigma$
Curve 2: Share of Grades			C-: AIS_i of the top 75th			B-: Median AIS_i (50th percentile)			A-: AIS_i of the top 25th	

Grade Cutoffs

You will receive the highest letter grade for which your *aggregated individual score*, AIS_i, exceeds the grade cutoff score: $\boldsymbol{AIS_i \geq C_g}$. If the entire class demonstrates mastery of the material (all scores are higher than the cutoff for an A grade), then the entire class will get an A: there is no grade rationing. You are not in a grade competition with other students in this class. I will not certify your understanding as mastery (an A grade) if it is not deserved.

The highest AIS_i needed to **guarantee** a grade is given by the "Fixed" cutoff (If you have an 80%, you will receive no less than a B). I "curve the class" using one of the two curved cutoffs only if the cutoff is lower than the fixed cutoff. I *will never increase the cutoff above the fixed value*.

A "Pass" for a Pass/Fail grade is a D. You must earn a quality (letter) grade of a C- or higher for the course to count towards any track of the Economics major.

Other Grading Notes

• All your grades and graded work will be available on Gradescope. I will not post scores to Canvas because it cannot calculate grades correctly.

• The class average on assessments may vary greatly from assignment to assignment. Individual assessments will not be curved.

•No "Individual-Only" Extra Credit or "Grade Nudges". There will be NO additional grade assistance beyond the curves above. I ignore (and find insulting) all emails that ask for bonus assignments or a "grade nudge". **Everyone has equal opportunity to earn an A grade or to avoid an F**. Grades will not be adjusted to reflect the hours you report working on the course material, your effort, your class participation, your office hours or discussion section attendance, your financial aid status, etc. Your grades reflect only your understanding of the material as evaluated by assessments. Some students may be able to study for 10 minutes and obtain an A, while others can spend an entire week studying and receive an F.

CALENDAR

The following is an outline of all due dates. As the course progresses, the Lecture Topics associated with each class will be updated to reflect what was covered. If the material changes, the date of assessments will **NOT** change, rather the content will be altered.

Week	Date	Summary[§]	Lecture Topic	Due (+1 Weekly QRE)
1	M, Mar 18	1	Savings and Consumption	QRE 1
	W, Mar 20	2	Euler Equation	-
	F, Mar 22		*Discussion: Lagrangian/FOC Math Review*	-
2	M, Mar 25	3	Bond Markets	-
	W, Mar 27	4	Two Sided Asset Markets	QRE 2
	F, Mar 29		*Discussion: Homework 1*	Homework 1
3	M, Apr 1	5	Equity Markets	QRE 3
	W, Apr 3	6	Economic Growth and Economic Capital	-
	F, Apr 5		*Discussion: Quiz Administered*	Quiz 1
4	M, Apr 8	7	Steady State Economic Growth	-
	W, Apr 10	8	Solow Model	QRE 4
	F, Apr 12		*Discussion: Homework 2*	Homework 2
5	M, Apr 15	9	Growth and the Golden Rule of Savings	-
	W, Apr 17	10	Neoclassical Growth Model	QRE 5
	F, Apr 19		*Discussion: Quiz Administered*	Back-up Quiz A[‡]
6	M, Apr 22	11	Macroeconomic Measurement	QRE 6
	W, Apr 24	12	Consumption-Labor Decisions and Unemployment	-
	F, Apr 26		*Discussion: Homework 3*	Homework 3[‡]
7	M, Apr 29	13	Business Cycles and the Macroeconomic History	-
	W, May 1	14	Real Business Cycles and Un/Employment	QRE 7
	F, May 3		*Discussion: Quiz Administered*	Quiz 2
8	M, May 6	15	Money, Monetary Authorities, and Inflation	-
	W, May 8	16	Money, Interest Rates, Cash-in-Advance	QRE 8
	F, May 10		*Discussion: Homework 4*	Homework 4[‡]
9	M, May 13*	17	Monetary Policy and Expectations	-
	W, May 15	18	Seigniorage	QRE 9
	F, May 17		*Discussion: Quiz Administered*	Back-up Quiz B[‡]
Finals**	T, May 21		3pm-5pm: 50 minutes, 20 minute break, 50 minutes	Quiz 3[‡], Quiz 4[‡]

[§] Corresponding textbook readings and supplementary readings should be determined from the topic summary posted on Canvas. You should also review the material posted to Canvas (the class slides and practice problems).

*This is the last day to Withdraw.

Pass/Fail must be declared by email **no later than the start of the final exam time slot time.

‡ These assessments may be optional for you: see "Disruption Accommodation" on the Policies Syllabus.

POLICIES AND RESOURCES

Documentation posted on Canvas: Econ 20200 Syllabus Policies - Spring 2024 & Econ 20200 Syllabus Resources - Spring 2024.